

Sessions 4-7 — Corporate Governance Mechanisms: the Board of Directors, and Beyond Compliance: Making Boards Effective

By the end of these sessions you must know the three roles boards play, what drives good board composition and structure (size, director types, diversity, CEO duality, committees), what actually drives board effectiveness beyond formal independence, how board evaluation works in practice (with the Italian empirical evidence), how hard law and soft governance codes interact, and the specific circumstances that compromise a director's independence.

Plan

1. Why Boards Are Central, and Why That's Not Automatic
2. The Three Board Roles
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5. Why Board Processes Matter More Than Independence Alone
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1. Why Boards Are Central, and Why That's Not Automatic

In theory, boards are central to corporate governance because they contribute to long-term success, are composed of skilled and experienced professionals, address key strategic and governance issues, and stand detached from day-to-day operations. In practice, however, several structural limits complicate this picture: meetings are irregular and infrequent, information flow to directors is often limited or biased by management, directors' real impact and authority remain uncertain, and there is no clear consensus on what boards should prioritize.

Core message: boards matter, but their actual effectiveness depends on how they work in practice, not on their formal existence or theoretical role.

2. The Three Board Roles

The literature and governance codes cited in the lecture describe boards as balancing three main tasks:

- **Strategic task** — define the company's mission and vision, approve strategic plans, support company development.
- **Monitor task** — monitor performance and management behavior, overseeing both operational and strategic objectives.
- **Networking task** — enhance corporate reputation and legitimacy, manage relationships with shareholders and key stakeholders.

3. Board Composition and Structure

3.1 Size, Director Types and Diversity

Board size: influenced by firm size, ownership structure and industry. A board that is too small lacks expertise; a board that is too large loses efficiency, so an effective board balances the right size against the right mix of skills.

Types of directors distinguished in the lecture:

- **CEO**
- **Executive (inside) directors** — hold management roles inside the firm.
- **Non-executive (outside) directors** — do not hold management roles.
- **Independent directors** — non-executive directors free of ties that could compromise their judgment (defined precisely in Section 8).

Diversity is framed as a mix of competences and knowledge, gender and nationality balance, varied professional backgrounds, and different leadership styles and personal influence.

3.2 CEO Duality, the Lead Independent Director, and Committees

CEO duality: one person holds both the CEO and Chairman roles simultaneously. It can provide strong leadership, but risks an excessive concentration of power. It is common in the US and rare in the UK.

Lead Independent Director: a role appointed specifically when CEO duality exists, to ensure checks and balances. Its effectiveness depends on the individual's real independence and involvement.

Board committees are specialized bodies that support informed decision-making; typical committees are Audit/Risk/Control, Remuneration, Nomination and (increasingly) Sustainability, with an executive committee used in specific cases.

Effective boards separate powers, strengthen independence, and rely on specialized committees.

4. Board Working Style and the Effectiveness Framework

Board effectiveness depends not just on structure but on how meetings are conducted and decisions are made:

- **Meetings** — their frequency and duration, and the quality of the setting (time, place, organization).
- **Information** — must cover financial results, budgets, strategy and competition, and be timely, complete and reliable.
- **Decision-making style** — encourages open debate and constructive conflict, balances creativity with discipline, and avoids "board silence" (passive or disengaged members).

Overall board effectiveness framework: effectiveness emerges from the interaction of INPUT (board structure and composition, e.g. size, director types, diversity, nomination procedures, committees, leadership/duality) with PROCESSES (working style, e.g. meeting characteristics, information flow to directors, decision-making style) and BOARD ROLES (control, service and advice, networking), all shaped by contingent variables (firm size, ownership structure, industry) and by pressures from external/internal stakeholders and the regulatory framework, producing outcomes that should cohere with stakeholders' expectations.

5. Why Board Processes Matter More Than Independence Alone

Watch out: independence alone is not enough — the lecture explicitly notes that many failed firms (Enron, Theranos, WorldCom) had a majority of outside/independent directors on their boards. What really drives effectiveness is people and how the board works, not the formal independence ratio.

An effective board, per the lecture, practices constructive (not destructive) conflict especially with the CEO, functions as a cohesive team, balances involvement (knowing when to engage in strategy and when to delegate), and makes decisions using comprehensive information and perspectives.

6. Board Evaluation and Self-Assessment

Purpose of board evaluation: to periodically review the effectiveness of the board as a whole and of individual members. The Appointments Committee typically assists in designing and conducting evaluations.

Scope of assessment: board size and composition, functioning of the board and its committees, the board's role in defining strategy and monitoring management, and the adequacy of internal control and risk management systems. Objectives of moving "beyond compliance" with board reviews: strengthen external accountability, build and protect corporate reputation, and improve internal effectiveness. Challenges include the risk of self-serving assessments and a frequent lack of true independence (a "super partes" attitude is often missing). Drivers of adoption include governance codes recommending periodic evaluations, pressure from investors and stakeholders, and the need to refresh and revitalize the board's role.

Empirical evidence from Italian board reviews (2018, sample of 202 companies, 47 financial and 155 industrial): 84% of companies conducted a board review, supported by an external advisor in 27% of cases. Only 24% of companies signalled specific improvements in corporate governance as a result. The most common areas of improvement identified were informal meetings and induction programs (12.6% of all companies), strategy formulation and discussion (10.2%), and business knowledge (8.4%); when an external advisor was involved, these improvement rates were substantially higher across the board (e.g. informal meetings/induction jumped to 35.6% with an advisor versus 4.1% without one).

7. Best Practices: Hard Law versus Soft Law

Since the 1990s, regulation of boards of directors has spread across Western countries, and a convergence has emerged: many "good practices" look similar across very different institutional contexts. Governance regulation combines two types of rules:

- **Hard law** — binding legal rules, e.g. the Civil Code, the Consolidated Law on Finance.
- **Soft law** — self-regulatory Corporate Governance Codes voluntarily adopted by listed companies.

Corporate Governance Codes: non-binding, voluntary reference models ("best practices"), offering organizational and functional recommendations that are largely similar across countries. Their rationale is protecting shareholders' interests, which reduces agency costs and lowers the cost of capital. Compliance works on a "comply or explain" principle, meaning listed firms must disclose reasons for any non-compliance rather than being legally forced to comply.

The Board of Directors is not just a formal body: it approves strategic plans and key decisions, sets organizational and control systems, and defines directors' remuneration. It is distinct from the Top Management Team (TMT): the board provides guidelines and oversight, while the TMT (led by the CEO) develops strategies and business plans that are then submitted to the board for approval and critical review. Ideal board composition is described as 7 to 15 members with strong skills, sufficient time, and willingness to assume responsibilities and risks.

8. Independent Directors and the Chairman/CEO Split

Independent director: a non-executive director without financial, professional or personal ties that may compromise their independent judgment. Independence is assessed at appointment and re-assessed annually, with ongoing monitoring if relevant circumstances arise. Independent directors are crucial for forming and chairing board committees, and provide leadership and oversight vis-à-vis the CEO and executives, ensuring decisions protect all shareholders and stakeholders.

Per the lecture (using examples from the Italian Corporate Governance Code), a director's independence is considered compromised if they:

- Are a significant shareholder with relevant influence.
- Have been, in the last 3 years, an executive or top manager of the company, its subsidiaries, or major shareholders.
- Have had significant commercial, financial or professional relations with the company in the last 3 years.
- Have received significant additional remuneration beyond the director's fee in the last 3 years.
- Have served on the board for more than 9 years (even non-consecutive, within the last 12).
- Hold an executive position in another firm where a company executive is also a director.
- Are a shareholder or director in an entity belonging to the network of the company's statutory auditor.
- Have family ties with controlling shareholders or executive directors.

The Chairman's role: organizes and manages the work of the board, sets the agenda, chairs meetings, and ensures open discussion; holds no executive powers except information rights.

The Managing Director / CEO's role: in charge of management within delegated powers; certain strategic decisions still require prior board approval.

Board composition and structure must allocate powers and responsibilities so that no single individual dominates, safeguarding both decision quality and board independence — this is the direct link back to the CEO duality issue in Section 3.2.

9. Board Committees and Board Activities

Committees divide tasks within the board to allow deeper analysis and more informed decisions; they play investigative, advisory and preparatory roles (proposals, recommendations, opinions). Main committees:

- **Appointments Committee** — nominations and succession planning.
- **Remuneration Committee** — directors' and executives' pay policies.
- **Audit & Risk Committee** — oversight of internal controls, risk management, financial reporting.
- **Sustainability Committee (optional)** — ESG issues and stakeholder engagement.

The board itself defines the tasks of each committee and determines its composition, giving priority to the competence and experience of committee members.

On board activities more broadly: boards typically meet 6 to 8 times per year (2 to 4 hours each), and directors must receive documentation in advance (0.5 to 1 day of study is expected). Boards are also responsible for relations with the market (transparent, timely communication with investors, equal access to information for all stakeholders) and for integrity safeguards (preventing misuse of confidential or price-sensitive information, and requiring disclosure plus abstention from voting in conflict-of-interest situations).

10. The Gender Gap in Italian Boards

- **2011, Golfo-Mosca Law** — introduced mandatory gender quotas in boards and control bodies.
- **2018, Corporate Governance Code** — recommended that a share of board seats be reserved for the least represented gender.
- **2020, Budget Law** — extended quotas to six mandates (instead of three) and raised the requirement to at least 40% (two-fifths).
- **2020 Code update** — still refers to 33% in boards specifically, but expands the principle of equal opportunities to the entire company organization.

Watch out: the lecture also presents Italian compensation data (2012-2017) showing the gender pay gap among directors actually **increased** over the period, for two distinct reasons, female executive directors grew in number but saw a reduction in average compensation, while independent women directors grew steadily but their compensation only slightly increased. Don't assume rising female board representation automatically closed the pay gap, the lecture's own data shows the opposite trend over this period.

11. Common Mistakes and Exam Traps

- Assuming that having independent directors is sufficient for an effective board — Section 5 explicitly warns that Enron, Theranos and WorldCom all had a majority of outsiders on their boards; independence is necessary but not sufficient.
- Confusing the Chairman's role (organizes and chairs the board, no executive powers except information rights) with the CEO's role (manages the company within delegated powers) — collapsing both into one person is exactly what "CEO duality" means, and the lecture frames it as a risk of excessive power concentration, not a neutral structural choice.
- Treating Corporate Governance Codes as legally binding — they are soft law, voluntary, and enforced through a "comply or explain" disclosure obligation, not through legal sanction.
- Forgetting that the Board of Directors and the Top Management Team (TMT) are distinct bodies with distinct roles (oversight and guidelines versus strategy and business plan development).
- Treating "board evaluation" as automatically effective — the Italian evidence shows the **majority** of companies that did a board review reported no specific improvement (only 24% did), and self-assessments without an external advisor perform markedly worse.
- Mixing up the specific independence-compromising circumstances (Section 8) — e.g. the "last 3 years" threshold applies to executive/managerial roles and significant relations/remuneration, while the board-tenure threshold is a different number, "more than 9 years" within the last 12.

12. Must Know Absolutely

Must know:

- Three board roles, strategic, monitor, networking
- Board composition variables, size (7-15 ideal), director types (CEO, executive, non-executive, independent), diversity
- CEO duality (one person as CEO and Chairman) versus the Lead Independent Director role that exists specifically to counterbalance it
- Effectiveness framework, input (structure/composition) plus processes (working style) plus board roles, shaped by contingent variables and stakeholder pressure, producing outcomes

- Independence alone is not enough (Enron, Theranos, WorldCom all had independent-majority boards), processes and team dynamics matter more
- Board evaluation, purpose is continuous improvement not box-ticking, Italian evidence, 84% did a review but only 24% reported real improvement, advisor-supported reviews perform much better
- Hard law (Civil Code, Consolidated Law on Finance) versus soft law (Corporate Governance Codes, comply-or-explain)
- Independence-compromising circumstances, significant shareholder, recent executive role, recent significant relations/remuneration, more than 9 years of tenure, cross-directorships, auditor network ties, family ties to controllers
- Main board committees, Appointments, Remuneration, Audit & Risk, (optional) Sustainability
- Italian gender quotas tightened over time (2011 Golfo-Mosca, 2018 Code, 2020 Budget Law raising the bar to 40%), yet the director pay gap still increased over 2012-2017

Watch Out

Watch out on numbering: the source file for these sessions is named "sessions 4-7" (matching the syllabus's topics 4 through 7, board mechanisms through shareholder activism/ESG), but its actual slide content only covers what the syllabus lists as topics 4, 5 and 6 (board mechanisms, board effectiveness/evaluation, best practices/independence). Topic 7 (ownership structure, corporate strategy, shareholder activism and ESG investing) is NOT in this deck — it instead appears, in full, in the source file Blackboard itself labels "Session 9" (see the "Session 9" fiche). The session numbering used by Blackboard for this course does not line up cleanly with the syllabus's own topic numbering; treat the fiche folder names as source-file labels, not as a confirmed syllabus mapping.